

Section 2 in Consumer Protection Act, 2019

2. Definitions.

- In this Act, unless the context otherwise requires,-(1)"advertisement" means any audio or visual publicity, representation, endorsement or pronouncement made by means of light, sound, smoke, gas, print, electronic media, internet or website and includes any notice, circular, label, wrapper, invoice or such other documents;(2)"appropriate laboratory" means a laboratory or an organisation-(i)recognised by the Central Government; or(ii)recognised by a State Government, subject to such guidelines as may be issued by the Central Government in this behalf; or(iii)established by or under any law for the time being in force, which is maintained, financed or aided by the Central Government or a State Government for carrying out analysis or test of any goods with a view to determining whether such goods suffer from any defect;(3)"branch office" means-(i)any office or place of work described as a branch by the establishment; or(ii)any establishment carrying on either the same or substantially the same activity carried on by the head office of the establishment;(4)"Central Authority" means the Central Consumer Protection Authority established under section 10;(5)"complainant" means-(i)a consumer; or(ii)any voluntary consumer association registered under any law for the time being in force; or(iii)the Central Government or any State Government; or(iv)the Central Authority; or(v)one or more consumers, where there are numerous consumers having the same interest; or(vi)in case of death of a consumer, his legal heir or legal representative; or(vii)in case of a consumer being a minor, his parent or legal guardian;(6)"complaint" means any allegation in writing, made by a complainant for obtaining any relief provided by or under this Act, that-(i)an unfair contract or unfair trade practice or a restrictive trade practice has been adopted by any trader or service provider;(ii)the goods bought by him or agreed to be bought by him suffer from one or more defects;(iii)the services hired or availed of or agreed to be hired or availed of by him suffer from any deficiency;(iv)a trader or a service provider, as the case may be, has charged for the goods or for the services mentioned in the complaint, a price in excess of the price-(a)fixed by or under any law for the time being in force; or(b)displayed on the goods or any package containing such goods; or(c)displayed on the price list exhibited by him by or under any law for the time being in force; or(d)agreed between the parties;(v)the goods, which are hazardous to life and safety when used, are being offered for sale to the public-(a)in contravention of standards relating to safety of such goods as required to be complied with, by or under any law for the time being in force;(b)where the trader knows that the goods so offered are unsafe to the public;(vi)the services which are hazardous or likely to be hazardous to life and safety of the public when used, are being offered by a person who provides any service and who knows it to be injurious to life and safety;(vii)a claim for product liability action lies against the product manufacturer, product seller or product service provider, as the case may be;(7)"consumer" means any person who-(i)buys any goods for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any user of such goods other than the person who buys such goods for consideration paid or promised or partly paid or partly promised, or under any system of deferred payment, when such use is made with the approval of such person, but does not include a person who obtains such goods for resale or for any commercial purpose; or(ii)hires or avails of any service for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes

any beneficiary of such service other than the person who hires or avails of the services for consideration paid or promised, or partly paid and partly promised, or under any system of deferred payment, when such services are availed of with the approval of the first mentioned person, but does not include a person who avails of such service for any commercial purpose. Explanation. - For the purposes of this clause, - (a) the expression "commercial purpose" does not include use by a person of goods bought and used by him exclusively for the purpose of earning his livelihood, by means of self-employment; (b) the expressions "buys any goods" and "hires or avails any services" includes offline or online transactions through electronic means or by teleshopping or direct selling or multi-level marketing; (8) "consumer dispute" means a dispute where the person against whom a complaint has been made, denies or disputes the allegations contained in the complaint; (9) "consumer rights" includes, - (i) the right to be protected against the marketing of goods, products or services which are hazardous to life and property; (ii) the right to be informed about the quality, quantity, potency, purity, standard and price of goods, products or services, as the case may be, so as to protect the consumer against unfair trade practices; (iii) the right to be assured, wherever possible, access to a variety of goods, products or services at competitive prices; (iv) the right to be heard and to be assured that consumer's interests will receive due consideration at appropriate fora; (v) the right to seek redressal against unfair trade practice or restrictive trade practices or unscrupulous exploitation of consumers; and (vi) the right to consumer awareness; (10) "defect" means any fault, imperfection or shortcoming in the quality, quantity, potency, purity or standard which is required to be maintained by or under any law for the time being in force or under any contract, express or implied or as is claimed by the trader in any manner whatsoever in relation to any goods or product and the expression "defective" shall be construed accordingly; (11) "deficiency" means any fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance which is required to be maintained by or under any law for the time being in force or has been undertaken to be performed by a person in pursuance of a contract or otherwise in relation to any service and includes - (i) any act of negligence or omission or commission by such person which causes loss or injury to the consumer; and (ii) deliberate withholding of relevant information by such person to the consumer; (12) "design", in relation to a product, means the intended or known physical and material characteristics of such product and includes any intended or known formulation or content of such product and the usual result of the intended manufacturing or other process used to produce such product; (13) "direct selling" means marketing, distribution and sale of goods or provision of services through a network of sellers, other than through a permanent retail location; (14) "Director-General" means the Director-General appointed under sub-section (2) of section 15; (15) "District Commission" means a District Consumer Disputes Redressal Commission established under sub-section (1) of section 28; (16) "e-commerce" means buying or selling of goods or services including digital products over digital or electronic network; (17) "electronic service provider" means a person who provides technologies or processes to enable a product seller to engage in advertising or selling goods or services to a consumer and includes any online market place or online auction sites; (18) "establishment", in relation to an advertisement, means - (i) any message, verbal statement, demonstration; or (ii) depiction of the name, signature, likeness or other identifiable personal characteristics of an individual; or (iii) depiction of the name or seal of any institution or organisation, which makes the consumer to believe that it reflects the opinion, finding or experience of the person making such endorsement; (19) "establishment" includes an advertising agency, commission agent,

manufacturing, trading or any other commercial agency which carries on any business, trade or profession or any work in connection with or incidental or ancillary to any commercial activity, trade or profession, or such other class or classes of persons including public utility entities in the manner as may be prescribed;(20)"express warranty" means any material statement, affirmation of fact, promise or description relating to a product or service warranting that it conforms to such material statement, affirmation, promise or description and includes any sample or model of a product warranting that the whole of such product conforms to such sample or model;(21)"goods" means every kind of movable property and includes "food" as defined in clause (j) of sub-section (1) of section 3 of the Food Safety and Standards Act, 2006 (34 of 2006);(22)"harm", in relation to a product liability, includes-(i)damage to any property, other than the product itself;(ii)personal injury, illness or death;(iii)mental agony or emotional distress attendant to personal injury or illness or damage to property; or(iv)any loss of consortium or services or other loss resulting from a harm referred to in sub-clause (i) or sub-clause (ii) or sub-clause (iii),but shall not include any harm caused to a product itself or any damage to the property on account of breach of warranty conditions or any commercial or economic loss, including any direct, incidental or consequential loss relating thereto;(23)"injury" means any harm whatever illegally caused to any person, in body, mind or property;(24)"manufacturer" means a person who-(i)makes any goods or parts thereof; or(ii)assembles any goods or parts thereof made by others; or(iii)puts or causes to be put his own mark on any goods made by any other person;(25)"mediation" means the process by which a mediator mediates the consumer disputes;(26)"mediator" means a mediator referred to in section 75;(27)"member" includes the President and a member of the National Commission or a State Commission or a District Commission, as the case may be;(28)"misleading advertisement" in relation to any product or service, means an advertisement, which-(i)falsely describes such product or service; or(ii)gives a false guarantee to, or is likely to mislead the consumers as to the nature, substance, quantity or quality of such product or service; or(iii)conveys an express or implied representation which, if made by the manufacturer or seller or service provider thereof, would constitute an unfair trade practice; or(iv)deliberately conceals important information;(29)"National Commission" means the National Consumer Disputes Redressal Commission established under sub-section (1) of section 53;(30)"notification" means a notification published in the Official Gazette and the term "notify" shall be construed accordingly;(31)"person" includes-(i)an individual;(ii)a firm whether registered or not;(iii)a Hindu undivided family;(iv)a co-operative society;(v)an association of persons whether registered under the Societies Registration Act, 1860(21 of 1860) or not;(vi)any corporation, company or a body of individuals whether incorporated or not;(vii)any artificial juridical person, not falling within any of the preceding sub-clauses;(32)"prescribed" means prescribed by rules made by the Central Government, or, as the case may be, the State Government;(33)"product" means any article or goods or substance or raw material or any extended cycle of such product, which may be in gaseous, liquid, or solid state possessing intrinsic value which is capable of delivery either as wholly assembled or as a component part and is produced for introduction to trade or commerce, but does not include human tissues, blood, blood products and organs;(34)"product liability" means the responsibility of a product manufacturer or product seller, of any product or service, to compensate for any harm caused to a consumer by such defective product manufactured or sold or by deficiency in services relating thereto;(35)"product liability action" means a complaint filed by a person before a District Commission or State Commission or National Commission, as the case may be, for claiming compensation for the harm caused to

him;(36)"product manufacturer" means a person who-(i)makes any product or parts thereof; or(ii)assembles parts thereof made by others; or(iii)puts or causes to be put his own mark on any products made by any other person; or(iv)makes a product and sells, distributes, leases, installs, prepares, packages, labels, markets, repairs, maintains such product or is otherwise involved in placing such product for commercial purpose; or(v)designs, produces, fabricates, constructs or re-manufactures any product before its sale; or(vi)being a product seller of a product, is also a manufacturer of such product;(37)"product seller", in relation to a product, means a person who, in the course of business, imports, sells, distributes, leases, installs, prepares, packages, labels, markets, repairs, maintains, or otherwise is involved in placing such product for commercial purpose and includes-(i)a manufacturer who is also a product seller; or(ii)a service provider, but does not include-(a)a seller of immovable property, unless such person is engaged in the sale of constructed house or in the construction of homes or flats;(b)a provider of professional services in any transaction in which, the sale or use of a product is only incidental thereto, but furnishing of opinion, skill or services being the essence of such transaction;(c)a person who-(I)acts only in a financial capacity with respect to the sale of the product;(II)is not a manufacturer, wholesaler, distributor, retailer, direct seller or an electronic service provider;(III)leases a product, without having a reasonable opportunity to inspect and discover defects in the product, under a lease arrangement in which the selection, possession, maintenance, and operation of the product are controlled by a person other than the lessor;(38)"product service provider", in relation to a product, means a person who provides any service in respect of such product;(39)"regulations" means the regulations made by the National Commission, or as the case may be, the Central Authority;(40)"Regulator" means a body or any authority established under any other law for the time being in force;(41)"restrictive trade practice" means a trade practice which tends to bring about manipulation of price or its conditions of delivery or to affect flow of supplies in the market relating to goods or services in such a manner as to impose on the consumers unjustified costs or restrictions and shall include-(i)delay beyond the period agreed to by a trader in supply of such goods or in providing the services which has led or is likely to lead to rise in the price;(ii)any trade practice which requires a consumer to buy, hire or avail of any goods or, as the case may be, services as condition precedent for buying, hiring or availing of other goods or services;(42)"service" means service of any description which is made available to potential users and includes, but not limited to, the provision of facilities in connection with banking, financing, insurance, transport, processing, supply of electrical or other energy, telecom, boarding or lodging or both, housing construction, entertainment, amusement or the purveying of news or other information, but does not include the rendering of any service free of charge or under a contract of personal service;(43)"spurious goods" means such goods which are falsely claimed to be genuine;(44)"State Commission" means a State Consumer Disputes Redressal Commission established under sub-section (1) of section 42;(45)"trader", in relation to any goods, means a person who sells or distributes any goods for sale and includes the manufacturer thereof, and where such goods are sold or distributed in package form, includes the packer thereof;(46)"unfair contract" means a contract between a manufacturer or trader or service provider on one hand, and a consumer on the other, having such terms which cause significant change in the rights of such consumer, including the following, namely:-(i)requiring manifestly excessive security deposits to be given by a consumer for the performance of contractual obligations; or(ii)imposing any penalty on the consumer, for the breach of contract thereof which is wholly disproportionate to the loss occurred due to such breach to the other party to the contract;

or(iii)refusing to accept early repayment of debts on payment of applicable penalty; or(iv)entitling a party to the contract to terminate such contract unilaterally, without reasonable cause; or(v)permitting or has the effect of permitting one party to assign the contract to the detriment of the other party who is a consumer, without his consent; or(vi)imposing on the consumer any unreasonable charge, obligation or condition which puts such consumer to disadvantage;(47)"unfair trade practice" means a trade practice which, for the purpose of promoting the sale, use or supply of any goods or for the provision of any service, adopts any unfair method or unfair or deceptive practice including any of the following practices, namely:-(i)making any statement, whether orally or in writing or by visible representation including by means of electronic record, which-(a)falsely represents that the goods are of a particular standard, quality, quantity, grade, composition, style or model;(b)falsely represents that the services are of a particular standard, quality or grade;(c)falsely represents any re-built, second-hand, renovated, reconditioned or old goods as new goods;(d)represents that the goods or services have sponsorship, approval, performance, characteristics, accessories, uses or benefits which such goods or services do not have;(e)represents that the seller or the supplier has a sponsorship or approval or affiliation which such seller or supplier does not have;(f)makes a false or misleading representation concerning the need for, or the usefulness of, any goods or services;(g)gives to the public any warranty or guarantee of the performance, efficacy or length of life of a product or of any goods that is not based on an adequate or proper test thereof:Provided that where a defence is raised to the effect that such warranty or guarantee is based on adequate or proper test, the burden of proof of such defence shall lie on the person raising such defence;(h)makes to the public a representation in a form that purports to be-(A)a warranty or guarantee of a product or of any goods or services; or(B)a promise to replace, maintain or repair an article or any part thereof or to repeat or continue a service until it has achieved a specified result,if such purported warranty or guarantee or promise is materially misleading or if there is no reasonable prospect that such warranty, guarantee or promise will be carried out;(i)materially misleads the public concerning the price at which a product or like products or goods or services, have been or are, ordinarily sold or provided, and, for this purpose, a representation as to price shall be deemed to refer to the price at which the product or goods or services has or have been sold by sellers or provided by suppliers generally in the relevant market unless it is clearly specified to be the price at which the product has been sold or services have been provided by the person by whom or on whose behalf the representation is made;(j)gives false or misleading facts disparaging the goods, services or trade of another person.Explanation. - For the purposes of this sub-clause, a statement that is,-(A)expressed on an article offered or displayed for sale, or on its wrapper or container; or(B)expressed on anything attached to, inserted in, or accompanying, an article offered or displayed for sale, or on anything on which the article is mounted for display or sale; or(C)contained in or on anything that is sold, sent, delivered, transmitted or in any other manner whatsoever made available to a member of the public, shall be deemed to be a statement made to the public by, and only by, the person who had caused the statement to be so expressed, made or contained;(ii)permitting the publication of any advertisement, whether in any newspaper or otherwise, including by way of electronic record, for the sale or supply at a bargain price of goods or services that are not intended to be offered for sale or supply at the bargain price, or for a period that is, and in quantities that are, reasonable, having regard to the nature of the market in which the business is carried on, the nature and size of business, and the nature of the advertisement.Explanation. - For the purpose of this sub-clause,

"bargain price" means,-(A)a price that is stated in any advertisement to be a bargain price, by reference to an ordinary price or otherwise; or(B)a price that a person who reads, hears or sees the advertisement, would reasonably understand to be a bargain price having regard to the prices at which the product advertised or like products are ordinarily sold;(iii)permitting-(a)the offering of gifts, prizes or other items with the intention of not providing them as offered or creating impression that something is being given or offered free of charge when it is fully or partly covered by the amount charged, in the transaction as a whole;(b)the conduct of any contest, lottery, game of chance or skill, for the purpose of promoting, directly or indirectly, the sale, use or supply of any product or any business interest, except such contest, lottery, game of chance or skill as may be prescribed;(c)withholding from the participants of any scheme offering gifts, prizes or other items free of charge on its closure, the information about final results of the scheme.Explanation. - For the purpose of this sub-clause, the participants of a scheme shall be deemed to have been informed of the final results of the scheme where such results are within a reasonable time published, prominently in the same newspaper in which the scheme was originally advertised;(iv)permitting the sale or supply of goods intended to be used, or are of a kind likely to be used by consumers, knowing or having reason to believe that the goods do not comply with the standards prescribed by the competent authority relating to performance, composition, contents, design, constructions, finishing or packaging as are necessary to prevent or reduce the risk of injury to the person using the goods;(v)permitting the hoarding or destruction of goods, or refusal to sell the goods or to make them available for sale or to provide any service, if such hoarding or destruction or refusal raises or tends to raise or is intended to raise, the cost of those or other similar goods or services;(vi)manufacturing of spurious goods or offering such goods for sale or adopting deceptive practices in the provision of services;(vii)not issuing bill or cash memo or receipt for the goods sold or services rendered in such manner as may be prescribed;(viii)refusing, after selling goods or rendering services, to take back or withdraw defective goods or to withdraw or discontinue deficient services and to refund the consideration thereof, if paid, within the period stipulated in the bill or cash memo or receipt or in the absence of such stipulation, within a period of thirty days;(ix)disclosing to other person any personal information given in confidence by the consumer unless such disclosure is made in accordance with the provisions of any law for the time being in force.